



3.4 Influences on Business Decisions

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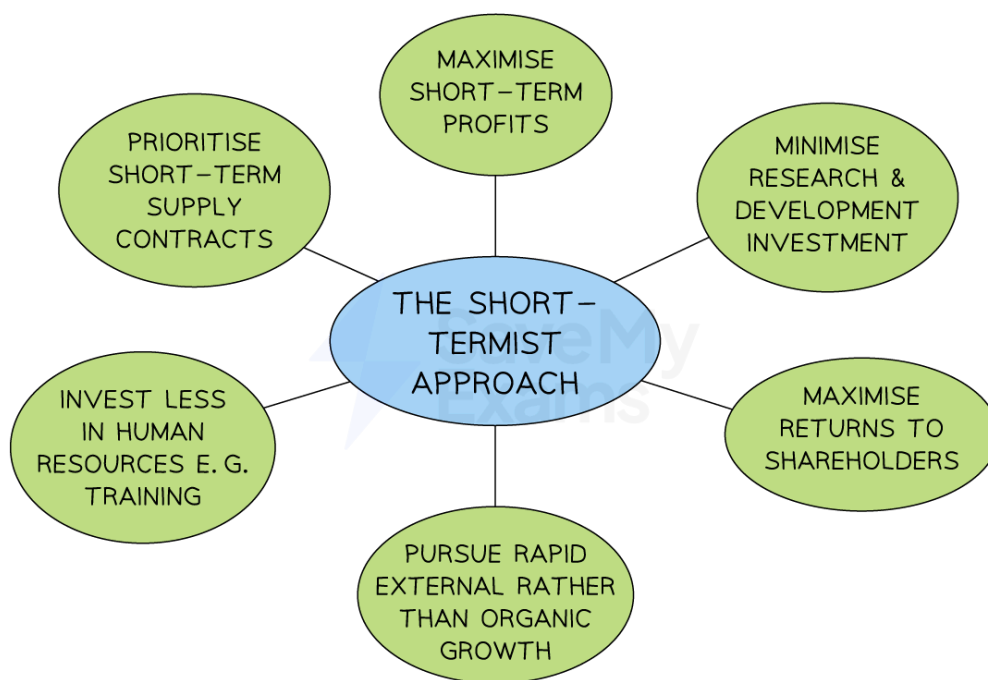
- * Corporate Influences
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- * Shareholders Versus Stakeholders
- * Business Ethics



Corporate timescales: short-termism versus long-termism

- Business decisions can have **long-term** and **short-term** implications
 - Long-term decisions are likely to affect the long-term **mission** and **vision** of the business over a period of anything **up to ten years**
 - Short-term decisions are more likely to impact **objectives** and **tactics** over the **next few years** at most
- Many businesses focus on **decision-making for the short term**
- This is especially influenced by pay structures, e.g. when executives' pay is linked to short-term success, such as an increase in the **share price**

The short-termist approach



Strategies likely to be adopted by a business with a short-termist approach to decision-making

- Businesses that adopt a short-termist approach may face a range of problems:
 - Loss of **profitability** and **competitive edge** as lucrative **long-term opportunities** are **ignored** in favour of short-term priorities



Your notes

- The need to produce and analyse very **regular financial reports** means that **managers lack time** to consider longer-term corporate strategic direction
- Reliance on **short-term contracts** with suppliers and workers is likely to lead to **higher than necessary costs**, as benefits such as bulk buying discounts cannot be achieved
- It is argued that short-termism is an **entrenched** feature in British businesses, and some commentators consider that it is a **key reason for sluggish productivity** and a lack of willingness to invest in research, training and skills
- Some businesses are more likely to engage in those activities that will allow them to **take advantage of opportunities that improve productivity and provide a competitive edge in the future**
- This long-term approach may include a business:
 - Conducting ongoing **investment in research and development**, innovation and new product development
 - Adopting a long-term outlook with **less emphasis on frequent financial reporting**
 - Valuing and investing significant resources into the **recruitment, training and retention of staff**
 - Establishing and nurturing **meaningful and lasting relationships with suppliers**

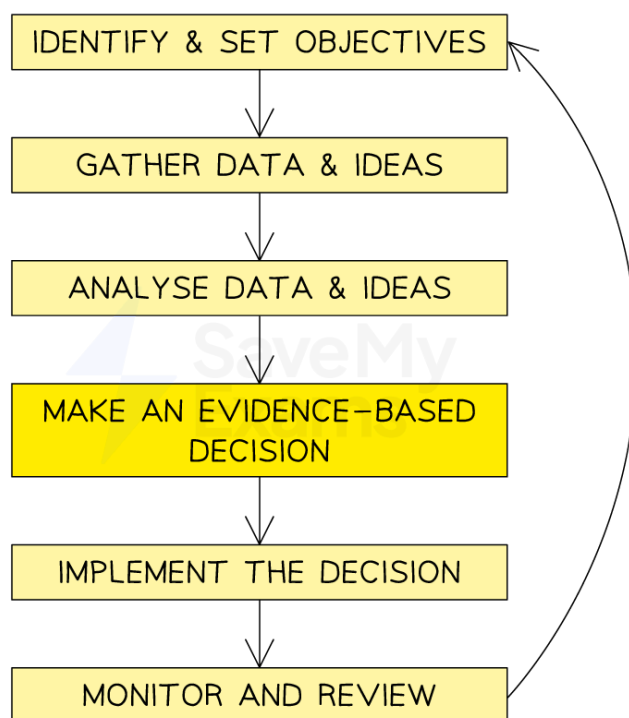
Evidence-based versus subjective decision-making

- **Evidence-based decision-making** involves taking a **systematic and fact-based approach** when determining objectives, strategy and tactics

The evidence-based approach



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The evidence-based approach to business decision-making

- First, a business identifies the measurable objective it wants to achieve and determines the criteria against which success will be measured
- Data is then gathered and analysed to consider the range of available decisions
 - Internal data may be gathered from **sales records** and **market research**
 - External **market data** and **economic forecasts** are also often used
- The appropriate **evidence-based strategic and tactical decision is made** and **communicated** to those required to carry out the range of tasks involved
- The decision is **implemented**, carefully **monitored** and **reviewed**
- The **outcome** of the decision can be used to **inform future decision-making**
- Subjective decision-making** is guided principally by the **personal opinions** and **experiences** of key decision-makers
 - Subjective decision-making is often **more risky** than an evidence-based approach, but there are some circumstances in which it may be more appropriate

Situations in which subjective decision-making may be appropriate

Situation	Explanation
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Your notes

When quick decisions need to be made	- Sometimes, a swift decision needs to be made to counter rapidly changing market conditions - E.g. the entry of a new competitor may require an immediate response to avoid losing sales
Where the nature of the industry means that subjective decisions are normal	- In some industries, subjective decision-making provides the key element of competitive advantage - E.g. the fashion industry relies on the instincts and personal style choices of designers and buyers who are likely to have a "gut feeling" that guides their decisions
Where there is a lack of data to support evidence-based decision-making, or when data conflicts	- In some instances, there may be a lack of up-to-date and accurate data to support an evidence-based decision, so a well-placed "hunch" may be the best option a business has - E.g. choosing a new supplier with whom a business has no previous trading relationship may rest upon the instinct of the purchasing manager
Where a persuasive and single-minded leader runs the business	- Some businesses are dominated by powerful leaders who make key strategic decisions without consultation and with limited data - This is an appropriate decision-making approach in which leaders are experienced and trusted and have a good track record



Examiner Tips and Tricks

A business's **approach to decision-making** can provide an excellent basis for **analysis** and **evaluation**.

Look out for clues in the case study that identify whether the business takes an **evidence-based** or **subjective** approach and weigh up how this may affect both the **quality of the decision** and the likelihood of the business **achieving its objective**.

Explore the **skills, experience and characteristics** of the key decision-makers and state your concerns.

Consider whether their approach is appropriate, given the **timescales available** and the **level of risk** involved in the decision.

Evaluate the **sources of information** used to make decisions and make a judgement about whether it is **sufficient**.



Your notes



Strong and weak cultures

- A strong **company culture** exists where factors such as **attitudes**, **values** and **beliefs** are easily recognised and **embedded** into the **way that a business operates**
- Businesses with strong cultures are likely to possess a range of **visual features** and **norms**

Visual features and norms in a business with a strong culture

Visual features	Norms
▪ Business-specific artefacts, e.g. uniforms ▪ A well-known figurehead as a role model ▪ Ceremonies, rituals and customs, e.g. awards evenings ▪ Layout of business premises, e.g. open plan offices ▪ The training culture, e.g. induction and ongoing training	▪ Core organisational values, e.g. staff wellbeing ▪ Workplace procedures, e.g. meeting etiquette ▪ Business-specific language, e.g. calling workers "team members" or "partners" ▪ Repeating stories that focus on business values and history ▪ Decision-making approach

- In businesses with a **strong culture**, it is likely that employees:
 - Have a "**can-do**" **attitude** and are **enthused** by their work
 - Have a strong **belief** that the business is a force for good
- In a **business with a weak culture**, these **signs may be difficult to identify**
 - A "**them and us**" **attitude** may exist between workers and management
 - Employees may **doubt the sincerity** of the corporate mission
 - High levels of **staff turnover** and **low commitment** amongst staff may exist

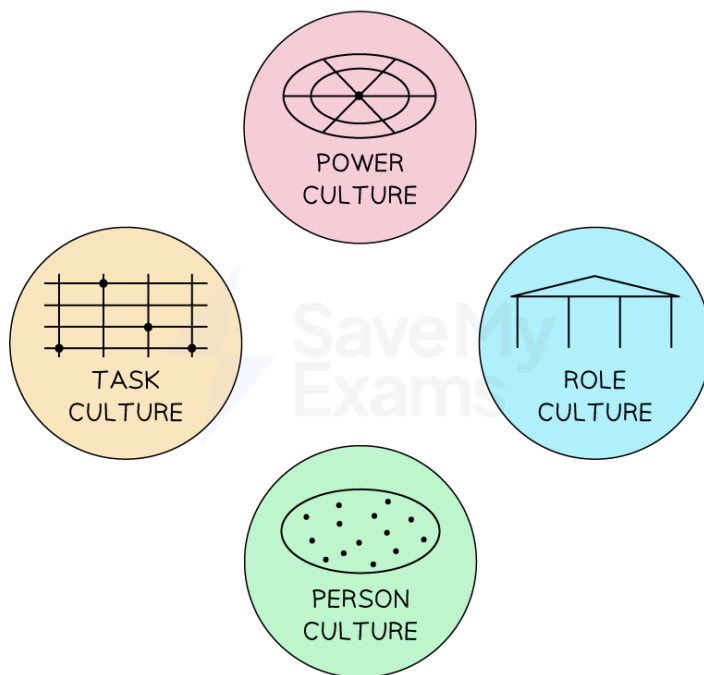
Classification of company cultures

- **Charles Handy** identifies four types of organisational culture

Handy's four types of organisational culture



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Charles Handy's classification of organisational cultures

- In a **power culture**, decision-making is carried out by one or a small number of **powerful individuals**, usually at the top of the business **hierarchy**:
 - **Few rules** exist to determine the decision-making procedure
 - There's a **competitive atmosphere** between workers vying for power
 - Most communication is by **personal contact**
 - It is argued that Alan Sugar's **Amstrad** adopted a power culture with Sugar as its powerful decision-maker
- In a **role culture**, key decisions are made by those with **specific job roles**:
 - Power lies with those with particular **job titles** rather than those with desirable skills
 - There is usually a very clear **hierarchical structure**
 - Employees are expected to **adhere to rules** and **understand their place** in the hierarchy
 - Businesses with role cultures may find it **difficult to adapt** to rapidly changing market conditions
 - Very large organisations in the **public sector**, such as the **NHS**, are usually considered to have highly structured role cultures
- In a **task culture**, decisions are made by teams made up of employees with specific skills:
 - Power lies with those with **task-related skills** (e.g. a finance specialist may make decisions related to funding within the group)

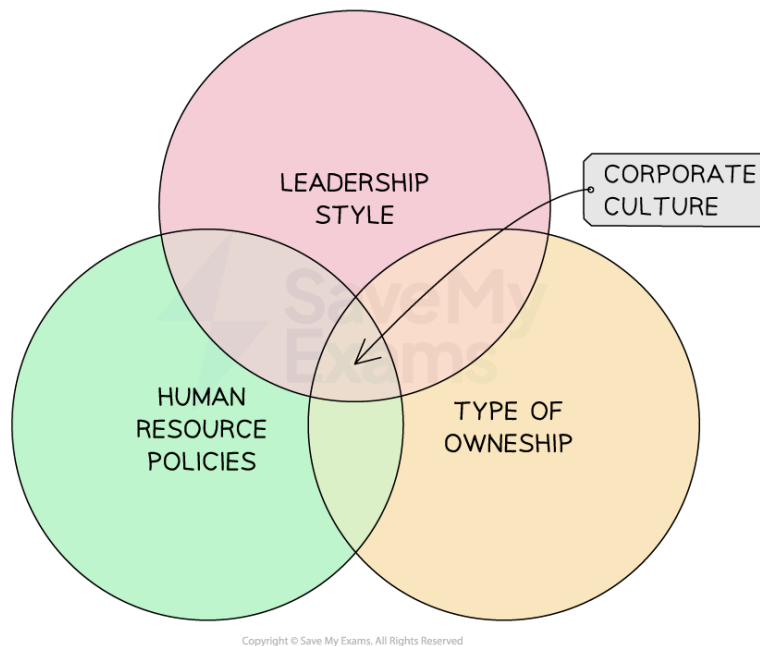


- Teams are **created and dissolved** as projects are started and completed
- There is an emphasis on **adaptability** and teamwork
- **PepsiCo** is an example of a business that has a task culture
- In a **person culture**, individuals with **extensive experience and skills** are loosely brought together:
 - These individuals have significant levels of power to **determine their own decision-making procedures** and often **work autonomously**
 - Organisations with person cultures are very common in professional services such as **accounting** and **law**

How corporate culture is formed

- Corporate culture generally **forms over time**, especially as a business **grows**
- A range of factors contribute to the formation of a corporate culture

Forming corporate culture



Factors contributing towards the formation of a business culture

- A **leader's attitude** can have a significant impact on the culture that forms within an organisation
 - For example, the founder of **SuperJam** developed his business idea with his grandmother, and he has been determined to contribute to the wellbeing of senior citizens as his business has grown
- Some businesses adopt particular **human resources policies** that shape the makeup of their workforce



- For example, Timpson actively recruits prisoners approaching the end of their custodial sentences
 - They provide extensive training and support, and in return, there is a **culture of loyalty** amongst its staff, grateful at being given a "second chance"
- The **ownership type** of a business can influence the business culture
 - Large **public limited companies** are likely to adopt a **shareholder approach**, focusing on meeting the short-term **profit maximisation** needs of shareholders
 - **Family-owned** businesses are more likely to take a **longer-term approach** focused on the **longevity** of the business and perhaps a wider range of **stakeholder** needs
- Factors such as the **type of product**, the **environmental factors** the business faced when it was created and the **market in which it operates** can all influence the corporate culture that develops

Difficulties in changing an established culture

- From time to time, it may be appropriate and desirable for a business to make changes to its culture to:
 - Increase **productivity**
 - Improve **innovation** and **creativity**
 - Face a particular **challenge**
 - Follow the direction of a **new leader**
- Changing an established culture is a very difficult task for a number of reasons

Difficulties in changing established organisational cultures

Difficulty	Explanation	Example
Identifying contributing factors	■ Identifying the various elements of an organisation's culture can take time and significant insight to fully understand	■ UK train companies plan to remove guards to save salary costs: ■ A change like this is likely to negatively impact passenger wellbeing and lead to weaker customer service ■ Train guards have been recognised as positively contributing to company culture
The existence of subcultures	■ Changes to visual elements, such as uniforms, logos and mission statements, are	■ New headteachers often change uniforms or policies ■ They may not be aware of staff attitudes towards management,



Your notes

	relatively straightforward tasks ▪ The impact of unofficial subcultures, such as always undermining management decisions, can be harder to change	and these may be much harder to recognise and change
Overcoming resistance to change	▪ Any change process is uncomfortable and requires employee buy-in ▪ This requires careful communication for commitment to that change to be achieved	▪ Executives at Royal Mail have been hampered in their attempts to change working practices and norms within the business, as they have not gained employee buy-in to the process, and their approach and communication to employees has been poor



Examiner Tips and Tricks

Case studies contain lots of **clues** about a firm's culture.

Look for signs of a **strong** or **weak** culture, for example:

- Does the business have a clear **figurehead**?
- Is there a particular way that the business carries out its **activities**?
- Are there obvious **guiding principles**?
- Are there **visible signs** of a culture, e.g. branding or uniforms?

The more clues you can identify, the more likely it is that the business has a strong culture, but:

- Do negative **subcultures** exist?
- Is **communication** effective?
- Is everyone "**on board**"?



Internal and external stakeholders

- Stakeholders are individuals or groups that **affect or are affected by the actions of a business**
 - A business needs to take into account the **needs and interests of its stakeholders** in order to operate successfully and ensure long-term success
- Internal stakeholders** are individuals or groups **inside** the business:
 - Employees
 - Managers and directors
 - Business owners
- External stakeholders** are individuals or groups outside of a business:
 - Customers
 - Shareholders
 - Creditors
 - Suppliers
 - The local community
 - Local and national government
 - Pressure groups

Stakeholder objectives

- Stakeholders can have **different objectives** based on their different roles and perspectives
- A business needs to take into account the **needs and interests of its stakeholders** in order to operate successfully and **ensure long-term success**

The different objectives of internal stakeholders

Stakeholder	Objective	Example
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Your notes

Owners	- Owners may be sole traders, a partner in a business or a shareholder in a private limited company - Owners are likely to work within the business as well as own it and so will be relying on the business to provide an income - They will want all or a share of the profit and will want the business to succeed	- The owner of a small building business may want it to provide a job and income: - The owner may also have the aim of passing the business on to a family member on retirement
Employees	- Employees are individuals who work for a company - Their primary objective is to earn a living, have job security, be compensated fairly for their work and have a safe working environment	Google employees in California have some of the best working conditions in the world, with the company offering sleeping pods, games rooms and free specialty coffee all day
Management	- Managers are individuals who are responsible for the day-to-day operations of a company - Their primary objective is to meet the company's goals and objectives - They want to maximise profits and minimise costs while ensuring that the company operates efficiently	A manager of a McDonald's outlet may want the restaurant to increase sales and reduce costs by improving efficiency

The different objectives of external stakeholders

Stakeholder	Objective	Example
Customers	- Customers are individuals or businesses who purchase goods/services from a business - Their primary objective is to receive high-quality	A customer of Nike may want the company to provide high-quality shoes at a reasonable price and to deal promptly with any customer concern issues



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	products or services at a fair price Customers also want good customer service and a positive experience with the company	
Shareholders	- Shareholders are individuals or entities who own a portion of a company's stock - They invest in the company with the goal of making a profit - Shareholders' primary objective is to maximise their returns on investment - They want the company to be profitable and generate a high return on their investment	A shareholder of Apple may want the company to release new products and increase sales to increase the value of their shares
Suppliers and creditors	- Suppliers and creditors are likely to be one and the same - Their primary objective is for the business to pay what it owes promptly and in full - Suppliers often want to be able to establish long-term arrangements with customers to improve business stability	An egg supplier is likely to value a long-term supply contract with a leading supermarket, even if the price it receives for its eggs is low, because sales are guaranteed
The local community	- The local community includes individuals and organisations that live or operate in the area where a business operates - Their primary objective is for the business to have a positive impact on the community: - This may include the business being environmentally responsible, providing jobs and contributing to local causes	Burnley Savings & Loans Ltd (Bank of Dave) donates all of its profits to local charities and good causes



Your notes

Local and national government	▪ The government is responsible for creating and enforcing laws and regulations that affect businesses ▪ Its primary objective is to promote the public good and protect the interests of citizens ▪ The government wants companies to operate within the law and contribute to the economy	▪ The government may want a company to pay taxes, comply with environmental regulations and create jobs
Pressure groups	▪ Pressure groups are organisations that seek to influence the policies and actions of businesses or governments ▪ Their primary objective is to promote a specific cause or agenda ▪ Pressure groups want companies to support their cause or take action on an issue	▪ An animal rights group may want a clothing company to stop using animal products in their clothing

Stakeholder and shareholder influences

- A business can take a **shareholder approach** or a **stakeholder approach** in its business strategy
- A stakeholder approach focuses on **interdependencies between stakeholder groups** and takes steps to ensure that the **benefits and drawbacks** of its operations are **shared equally** among them
 - This is **likely to decrease profits** as competing stakeholder needs may require solutions that involve **increased costs** (e.g. meeting employees' needs by paying higher wages will increase salary costs)
- The shareholder approach has often been used by large corporations, and it is focused on **meeting the needs of shareholders**, i.e.:
 - **Maximising profits** in order to **increase dividends** and improve the **share price**

The "Stakeholder Approach"

- Increased **media scrutiny** of business operations has meant that it has become good business practice to be **socially responsible**

- A business that adopts a stakeholder approach:
 - Recognises the impact it has on a range of stakeholder groups
 - Understands the impacts stakeholder groups can have on its operations
 - **Communicates** effectively with stakeholder groups
 - Tries to **minimise the negative impacts** of business operations on stakeholder groups where possible



Your notes

The influence on stakeholders and by stakeholders

Examples of business influences on stakeholders	Examples of stakeholder influences on businesses
▪ If a business experiences financial difficulties, shareholders may lose value in their investments and employees may face job losses or pay cuts ▪ If a business is profitable, shareholders may benefit from increased dividends and employees may receive bonuses or promotions ▪ Customers can be affected by business activity in terms of product availability, quality and pricing ▪ The local community can be impacted by the environmental and social impact of business operations, such as pollution or job creation ▪ The government can be affected by business activity in terms of tax revenue and regulatory compliance (following the laws)	▪ Customers can influence product development and pricing through their purchasing decisions and feedback ▪ Employees can impact business activity through their productivity, skills and job satisfaction ▪ Shareholders can impact business activity through their investment decisions and demands for returns ▪ The local community can impact business activity through regulations and permits (from the local council) and social pressure ▪ Pressure groups can impact business activity by lobbying for changes in policy or boycotting products ▪ The government can impact business activity through taxes, regulations (laws) and subsidies

The potential for conflict between stakeholders and shareholders

- There is significant potential for conflict between different **stakeholders within a business and the shareholders**

Shareholder conflict	Explanation	Example



Your notes

Shareholders and employees	▪ Shareholders aim to maximise the return on their investment, which usually requires the business to make as much profit as possible ▪ Employees aim for higher wages and better conditions, which is likely to increase costs and reduce profits	▪ In 2022, UK postal workers were engaged in strike action against their employer, Royal Mail, as they objected to a range of changes being made to their pay and working conditions that were intended to boost profits
Shareholders and customers	▪ Customers aim for fair (or low) prices as well as good customer service ▪ As shareholders demand high profits to achieve maximum dividends, there is pressure on businesses to raise prices	▪ Customers of UK energy suppliers were concerned that record-breaking shareholder dividends in 2022 occurred at the same time as consumer prices rose by more than 60%
Shareholders and management	▪ Management aims to run the business effectively and ensure it pleases its shareholders ▪ Management may recommend the decision to retain profits to invest and grow the business rather than distribute the profits to shareholders as dividends	▪ In early 2023, large numbers of shareholders of Boohoo voted against management plans to boost executive pay at the same time that dividends fell by 85%
Shareholders and governments	▪ Governments want businesses to create good-quality jobs while complying with laws and tax contributions ▪ Shareholders are less interested in job creation and more interested in profit maximisation	▪ Large corporations such as Amazon and Shell have been accused of tax avoidance through the offshoring of profit, reducing the amount of corporation tax paid to the UK government



Examiner Tips and Tricks

This topic is central to most of the other sections of the specification.

The impact on stakeholders of any type of business decision provides an excellent opportunity to develop **chains of analysis** and is also key to **evaluation using MOPS** (market, objectives, product, situation).



Your notes



Understanding business ethics

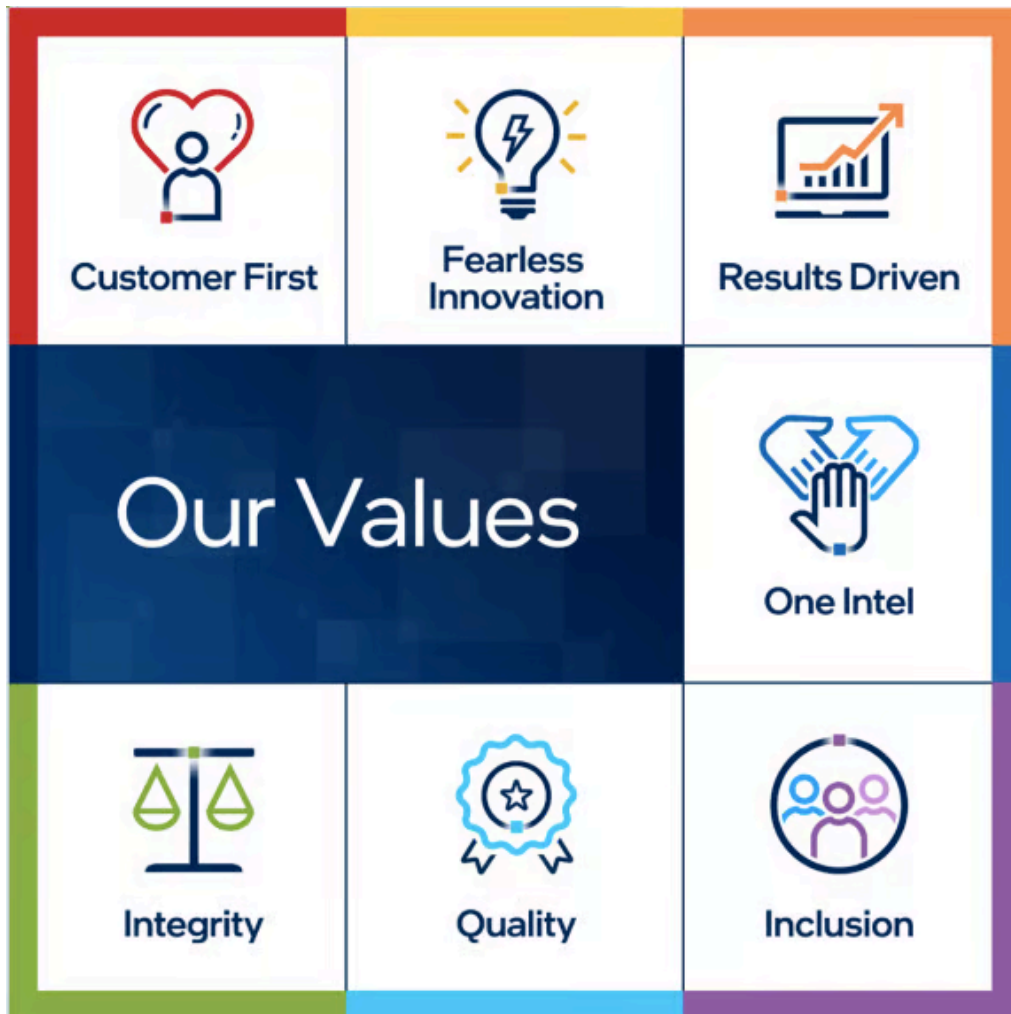
- Ethics relates to the **rights or wrongs** of making a strategic decision that are **beyond legal requirements** and in accordance with a business's **corporate responsibility principles**
- Some ethical businesses adopt an **ethical code of practice**, which informs decision-making and may set out how they:
 - Behave responsibly with regard to the **environment** (e.g. using recycled materials in packaging)
 - Avoid negative impacts on **animals** (e.g. animal testing)
 - Adopt **fair working practices** (e.g. paying a real living wage)
 - Implement robust and **equitable supply chains** (e.g. using sustainably sourced raw materials in production)
 - Take steps to **eliminate corruption** (e.g. ensuring appropriate tax is paid in the countries in which the business operates)
 - **Avoid controversial products** or take steps to minimise their impact or access to them (e.g. having strict verification procedures in place prior to cosmetic surgery procedures being carried out)
 - **Cease trading** with questionable suppliers or customers (e.g. cancelling a supply contract with a supplier that uses child labour)

Trade-offs between profit and ethics

- Businesses will **embed their ethical code of practice** into every aspect of their operations, and ethical priorities will feature heavily in:
 - **Recruitment** documentation and HR procedures
 - Induction and **training** programmes
 - **Performance** management cycles and **rewards** systems
 - Promotional literature and other **communications**



Your notes



An extract from Intel's ethical code of conduct

(Source: Intel)

- Businesses that choose to adopt ethical principles usually attract long-term **loyalty from employees and customers** and may find that their approach provides a useful **competitive advantage**
- Taking an ethical approach costs more and **may reduce the overall level of profits** if the business is not able to raise its prices to compensate

Ethics in pay and rewards

- Salaries, wages and other forms of financial reward (e.g. performance-related bonuses) play an important role in:
 - **Rewarding** and **motivating** existing staff
 - **Attracting** new employees
 - Maximising **productivity** levels

Current ethical concerns with regard to pay



Your notes

The "gender pay gap"	Minimum wages	Executive bonuses
- In the UK, the gender pay gap stands at around 10%, which means, on average, women earn 10% less than men per hour, despite the 50-year-old Equal Pay legislation Unilever and Evans Cycles have taken steps to successfully eliminate the gender pay gap, though easyJet and fashion retailer Phase Eight have gender pay gaps of more than 50%	- Many businesses pay workers the legally required minimum wage - To supplement their earnings, many low-paid workers are entitled to benefits such as tax credits, which are a significant cost to the economy: - In 2015, more than £1bn in benefits was paid to workers of the four largest UK supermarket chains, leading to accusations that the government subsidises the profits of big businesses	- In 2022, the pay of the CEOs of FTSE 100 companies jumped by an average of 25%, largely as a result of record bonus payments - At the same time, many businesses were restricting pay increases for employees to help them cope with increasing levels of inflation

Ethics and corporate social responsibility

- Corporate social responsibility (CSR) involves **conducting business activity in an ethical way** and **balancing the interests of shareholders with those of the wider community**

Examples of socially responsible activities

Socially responsible activity	Example
Sustainable sourcing of raw materials and components	- High street retailer H&M has a goal of using only recycled or sustainably sourced materials by 2030 - It also publishes a list of the majority of their suppliers' information, which is updated regularly, allowing stakeholders to verify and hold the company responsible for their suppliers' conduct
Responsible marketing	Marks & Spencer ensures that it never actively directs any marketing communications to children under the age of 12 and does not directly advertise any products high in fat, sugar or salt to children under the age of eighteen
Protecting the environment	Café chain Prêt à Manger offers discounts to customers who bring their own coffee cups, reducing the number of single-use plastic containers it dispenses

Responsible customer service	▪ John Lewis's famous "Never Knowingly Undersold" slogan refers to the company's commitment to checking competitor prices regularly to ensure that the price its customers pay is the lowest available in the local area at that time
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Your notes

- It is now common practice for large companies to publish annual **corporate responsibility reports**
 - These provide an audit of the steps being taken to meet their commitments to a range of stakeholders, alongside annual financial reports
- **Extra costs** are involved in operating in a socially responsible way, and these costs are likely to be passed on to consumers

The benefits of CSR

- It can **enhance** the business image and reputation
- It is attractive to many **stakeholders**
- It can be very profitable, as it **adds value** for many stakeholders
- Its implementation may improve employee motivation and productivity
- It can help **recruit strong candidates** for jobs advertised
- It may help to solve social problems, e.g. resource depletion



Examiner Tips and Tricks

When assessing the value of an ethical approach to CSR, make sure you include an assessment of the disadvantages as well:

- **It increases business costs**, as making the right decision is usually considered above less expensive yet questionable options
- Ethical businesses face high levels of **media scrutiny** and are likely to receive **particularly damaging criticism if they fall short**
- As much as leaders express a commitment to "doing the right thing", their **ethical principles are very likely to be watered down** or dismissed in favour of **making as much profit** as possible